

data. This extends from technical analysis to excessive reliance on historical regressions. Anyone considering handing their financial future over to any strategy based on “the general idea that a study confined to past price movements can be availed of profitably to foretell the movements of the future” (Chap. 52) should examine whether they can rebut Graham and Dodd’s basic objections. The strategies they call into question include VAR-based risk modeling, which implicitly promises that the market will move a predictable amount and exhibit stable correlations in the future. Consider Graham and Dodd’s third conclusion on this topic in Chap. 52:

The theoretical basis of chart reading runs somewhat as follows:

- a. The action of the market (or of a particular stock) reflects the activities and the attitude of those interested in it.
- b. Therefore, by studying the record of market action, we can tell what is going to happen next in the market.

Graham and Dodd caution us that “[t]he premise may well be true, but the conclusion does not necessarily follow.” Before going blindly into strategies that rely on historical patterns, one must have clear answers to the question of how might “the technical position of any stock or position tell me anything more than about the behavior of the investors in that instrument?” How is the behavior of the investors relevant to the instant situation? It is essential to tether this technical information to the fundamental properties of the issuer’s business and the contractual relationships of the securities in question.

WHERE DO DISCREPANCIES COME FROM

Identifying and exploiting discrepancies between price and value and striving to isolate whether there is a “margin of safety” that can deliver alpha is the central activity of market-neutral investing. Which disparities are worth pursuing, and which are best left to be merely observed and